



Amundi

ASSET MANAGEMENT

Amundi - AMUN
30/01/2025

Financials Team



Agenda

Amundi

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1 Company Overview

2 Industry Overview

3 Investment Thesis

4 Valuation

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6 Recommendation



Company Overview

Company Highlights

- **History:** Amundi was established in 2010, as a result of a merger between Crédit Agricole and Société Générale asset management activities. Amundi group owns several subsidiary AM companies. Recent milestones: IPO in 2015 resulting in €1.5B raised and €7.5B market cap, acquired Pioneer Investment (Unicredit subsidiary) in 2017 and Lyxor AM (Société Générale subsidiary) in 2021. It has today €2,192B of AUM. Yves Perrier who led Amundi since its creation has left the presidency to Philippe Brassac (Crédit Agricole CEO).
- **Valuation:** Amundi's stock is very volatile as it is heavily influenced by global market trends and interest rates which impact earnings and investor trust. Recent key events include a strategic partnership with Victory Capital, the acquisition of Aixigo and the potential extension of their distribution agreement with UniCredit
- **Strategy:** Amundi's strategy is focused on expanding its global presence through acquisitions of local asset managers and diversifying its investment solutions. Amundi emphasizes developing tailored quality investment solutions and pushing forward responsible investments.
- **Corporate Finance Transactions:** Acquired Alpha Associates in 2024 and signed a partnership with Victory Capital
- **Ownership:** The top shareholder is Crédit Agricole (68.90%) and 29% of shares are floating

Valuation & Share Performance

Key Valuation Statistics

Enterprise Value	\$15.45bn	Revenue (FY23)	\$6.0bn
Market Cap	\$14.07bn	EBITDA (FY23)	\$1.56bn
P/E	10.5x	EBITDA Margin '23	46.8%
EV/EBITDA	12.21x	Debt / EV	1.59x
Cash	\$0.52bn	Total Debt	\$24.59bn

Industry Data	Average
Asset Management	
EV/EBITDA - 12.21	7
EV/Revenue - 2.575	4
P/E - 10.5	22
Key Metrics	Unit
Gross Margin	52.1
ROIC	3.26
Debt to Equity	2.15
Cash ratio	27
ROA	3.21
Pretax Margin	25.1

Revenue Mix	%	Gross (\$mm)
Management revenue	91.8%	\$2,940.0
Performance fees	3.8%	\$123.0
Net financial income & other	2.5%	\$120
Technology	1.9%	\$60.0





Amundi Business Model

Operating Segments

Amundi Asset Management generates revenues primarily through investment management services, offering a wide range of financial products and solutions to institutional and retail clients worldwide.

It has three main operating segments:

- **Retail Clients:** Amundi provides investment solutions, mutual funds, and savings products to individual investors through banking networks, financial advisors, and digital platforms.
- **Institutional Clients:** This segment serves pension funds, insurance companies, sovereign wealth funds, and corporations, offering tailored asset management solutions, risk management, and advisory services.
- **Amundi Technology & Services:** Amundi provides access to its platform ALTO

Key Figures

- Revenue for FY 2023: **€1 224 million**
- Net Adjuster Income for FY 2023: **€1 224 million**
- Net Adjusted Income for Q3 2024: **€337 million**
(growing 10.5% YoY)
- **5500** employees
- Assets Under Management : **€2,192 billion**
- ETFs: exceeded **€250 billion** and growing rapidly
- Market cap : **€13.9 billion**

Competitors



Blackstone



Vanguard®



NATIXIS

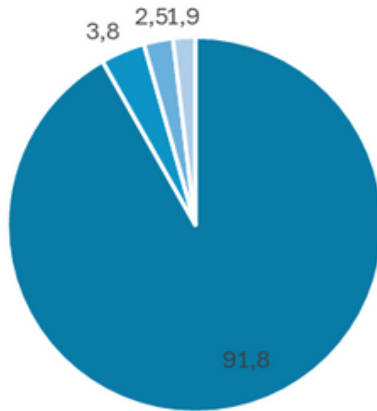


BlackRock.



Operating Forecast

Revenue Drivers



- Management revenue
- Performance fees
- Net financial income & others
- Technology

Revenue & EBITDA Forecast

(In Millions of Dollars)	2021	2022	2023	2024E	2025E	2026E
Operating Income	\$1.670,00	\$1.466,00	\$1.498,00	\$1.631,00	\$1.675,00	\$1.763,00
Net Profit	\$1.369,00	\$1.074,00	\$1.165,00	\$1.278,00	\$1.335,00	\$1.436,00
Operating Income Growth %		-12%	2%	9%	3%	5%
Net Profit Growth %		-22%	8%	10%	4%	8%
Total Adjusted EBITDA	\$1.665,00	\$1.410,00	\$1.501,00	\$1.685,00	\$1.761,00	\$1.834,00
EBITDA Margin %	52,01%	46,15%	48,07%	48,88%	50,47%	50,47%

Management revenues : 2024 Q3 saw a +16,1% net income growth vs 2023 Q3, with a 10.4% increase for the first 9 months. Net management fees rose up by 9.2% compared to 2023 Q3. These improvements are mainly due to successful joint ventures and direct distribution centers in Asia, with a 17% year-on-year increase in AUM, reaching €458 billion.

Assets under management reach a record-high €2,192 billion at 30 September 2024 which is a +11% increase year-on-year.

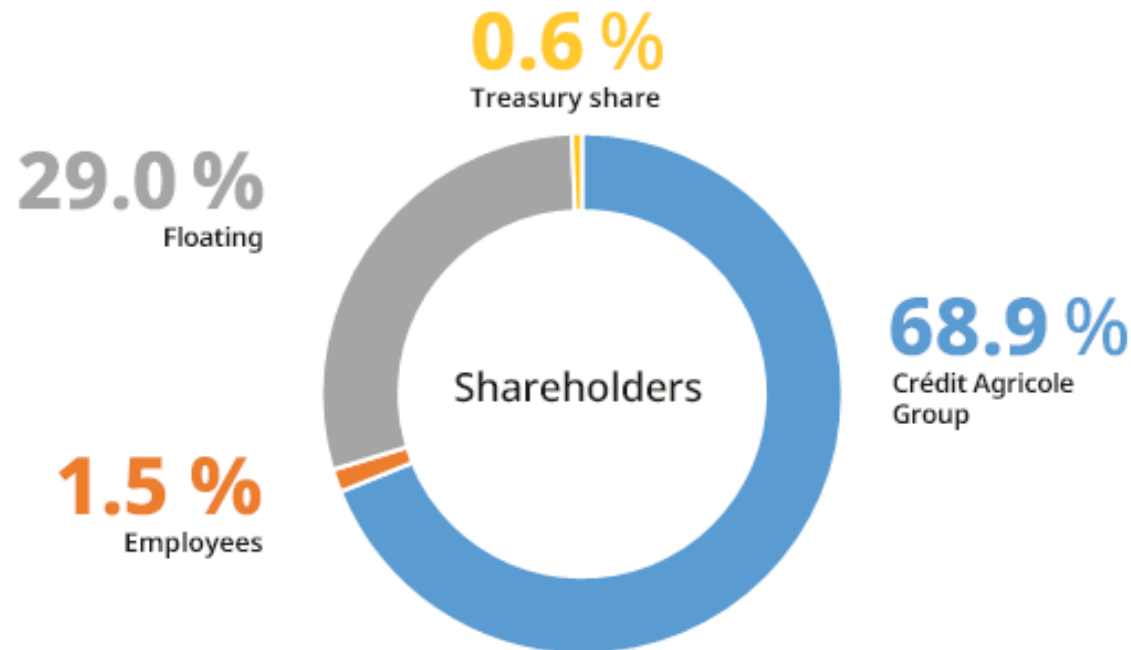
The resolutions necessary to finalise the transactions for the Victory Capital partnership project have been approved by shareholders, with completion expected in Q1 2025.



Shareholder Ownership Analysis

Ownership Analysis

Amundi's ownership structure is primarily influenced by its majority shareholder, Crédit Agricole, which holds a significant stake in the company. This strong ownership by Crédit Agricole provides Amundi with financial stability and strategic alignment within the broader banking group. The remaining shares are publicly traded, with institutional and retail investors holding stakes. This diversified shareholder base ensure some levels of liquidity while maintaining a strong link to its parent company



Amundi figures as of 09/30/2024



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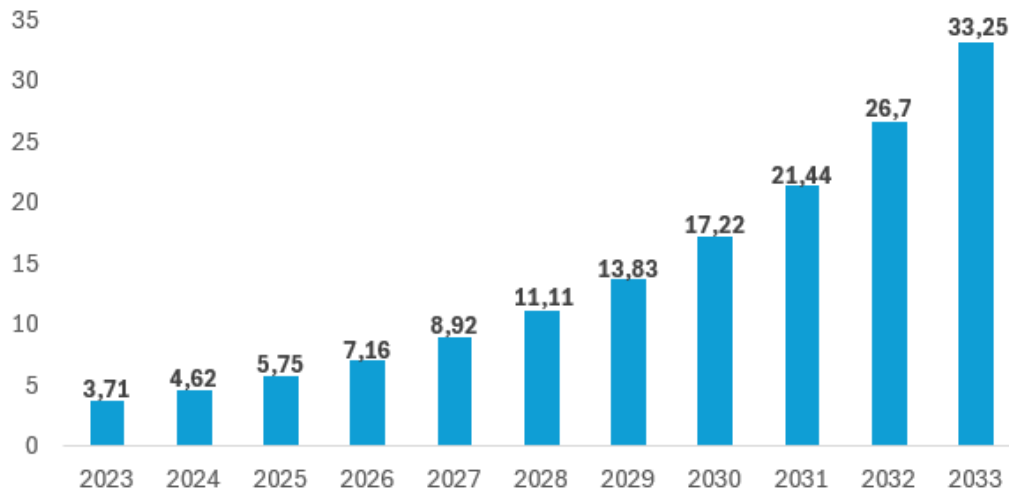


Industry Overview

○ Key Factors

□ Primary Factor

AI in Asset Management Market Size 2023 to 2033
(USD Billion)



- Technology shaping the industry

AI and machine learning enhance portfolio optimization and risk assessment, while fintech solutions like robo-advisors and blockchain improve efficiency, transparency, and accessibility for investors.

- Rise of Passive Investing

Passive strategies, particularly ETFs, continue to gain traction due to their low cost, transparency, and liquidity. While active management still plays a role, most active funds struggle to consistently outperform benchmarks net of fees.

- Growing Demand for Alternative Investments

Investors seek diversification beyond traditional stocks and bonds, turning to private equity, hedge funds... These assets offer non-correlated returns and potential illiquidity premiums but come with higher risks and complexity.

- Regulatory Changes and Compliance

As financial markets evolve, so do the regulations. Asset managers must stay ahead of new compliance requirements, such as those related to ESG disclosures, data protection, and anti-money laundering, to avoid penalties and maintain trust with investors.



Business Overview - Competitive Landscape

○ Competitors and partners

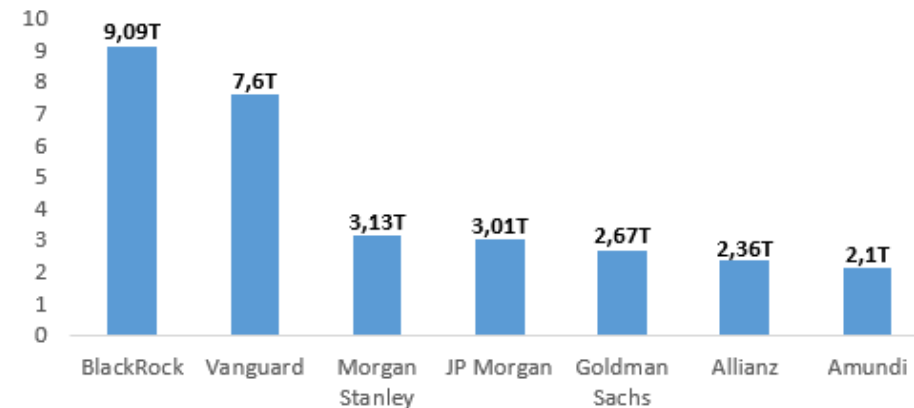
• Competitors

- **BlackRock** : The world's largest asset manager, dominating passive investing through its iShares ETF range and strong institutional presence. Competes with Amundi on a global scale, particularly in Europe.
- **Vanguard** : A major force in passive management with ultra-low-cost index funds and ETFs. Its investor-owned structure gives it a pricing edge over traditional asset managers like Amundi.
- **BNP Paribas Asset Management** : A strong European competitor with a diversified investment offering, particularly in ESG and sustainable finance, a space where Amundi is also a leader.

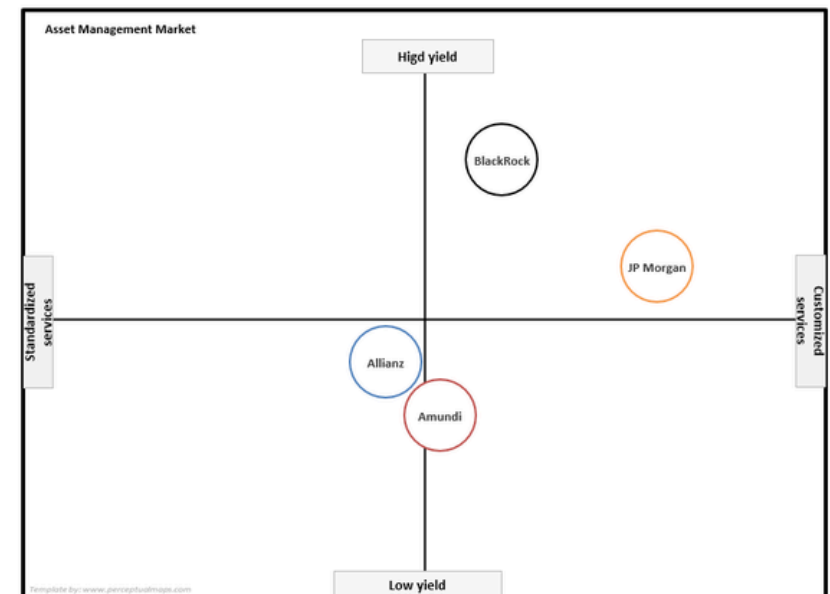
• Partners

- **Société Générale** : Long-standing strategic partnership in structured products and asset management solutions, enhancing Amundi's distribution capabilities.
- **CACEIS (Crédit Agricole Group)** : A key partner in fund administration and custody services, reinforcing Amundi's operational efficiency and market reach.
- **Boeing Pension Fund** : A notable example of Amundi's ability to manage large institutional mandates, showcasing its expertise in diversified portfolio management for corporate pension funds.

Top Asset Management Firms (Based on AUM of March 2023)



Positioning Mapping



Business Overview - Key Trends



○ Key trends for the industry

• Short term

- Market Volatility & Inflation Hedging

Investors prioritize inflation-resistant assets (commodities, real estate, inflation-linked bonds) amid macroeconomic uncertainty.

- Increased ETF Adoption

ETFs continue gaining traction as cost-conscious investors shift from active funds to passive, rules-based strategies.

• Medium term

- Rise of AI & Fintech in Asset Management

AI-driven investment models, robo-advisors, and blockchain-based solutions reshape portfolio management and client interactions.

- Shift Towards Personalization

Data-driven strategies enable hyper-personalized portfolios based on investor risk profiles, goals, and behavioral patterns.

• Long term

- Mainstream Adoption of Tokenization & Blockchain

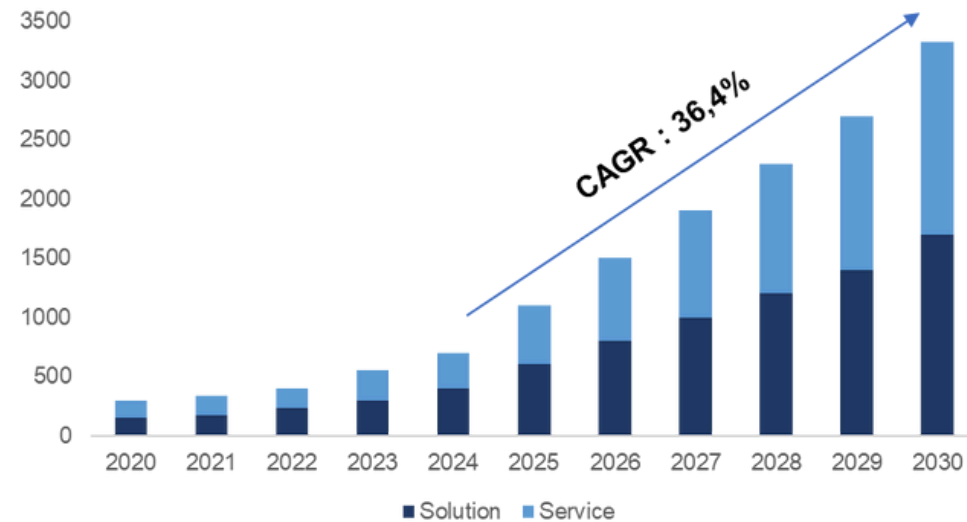
Asset tokenization enhances liquidity, fractional ownership, and access to previously illiquid asset classes.

- Continued Growth of ESG & Impact Investing

Sustainability becomes a fundamental driver of investment decisions, influencing capital flows and corporate strategies.

02/12/2024

Asset Management Market Size
by Component, 2020 - 2030 (USD Billion)





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Strong and predictable dividend yield

- Comfortable and stable dividend, supported by over €2 trillion in Assets Under Management (AUM)
- Consistent fee-based revenue ensures steady profitability
- High payout ratio (60 to 70%) while maintaining financial flexibility

Robust balance sheet with low debt

- Low financial leverage enhances resilience in market downturns
- Strong balance sheet allows for cash acquisitions and reinvestment
- Limited exposure to interest rate risk compared to more leveraged competitors

Technological leadership and operational efficiency

- Continuous investment in digitalization and AI-driven asset management.
- Strong investments in financial and economic research (Amundi Institute)
- Commercialization of Amundi's portfolio tools (ALTO) to multiple significant asset managers.



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Historical Share Price Analysis

Key Events & Share Price Drivers



1. **Jan 2010** – Creation of Amundi through the merger of Crédit Agricole Asset Management and Société Générale Asset Management.
2. **Nov 2015** – Initial Public Offering (IPO) on Euronext Paris, with a market capitalization of €7.5 billion.
3. **Dec 2016** – Acquisition of Pioneer Investments from UniCredit for €3.5 billion, expanding Amundi's presence in Italy, Germany, and Austria.
4. **July 2017** – Pioneer Investments acquisition, making Amundi the 8th largest asset manager globally with €1.4 trillion in assets under management (AUM).

5. **March 2020** - Covid crash, 33% drop
6. **April 2021** – Acquisition of Lyxor Asset Management from Société Générale for €825 million, making Amundi the second-largest ETF provider in Europe.
7. **2022** – Market turbulence and interest rate hikes: Global inflation concerns and central bank tightening weighed on asset managers, including Amundi, causing fluctuations in its share price.
8. **2023** – Amundi benefitted from strong inflows into its passive investment and ETF business



Broker estimates

Broker Estimates	Target Prices (\$)	Upside (%)	Rating
JPMorgan (26/11/2024)	€64	-5,5%	Neutral
Oddo BHF (21/01/2025)	€78	15,2%	Overweight
Barclays	€72	6,3%	Buy
Investir (09/12/2024)	€82	21,1%	Buy
Overall average (16 analysts)	€77,28	14,15%	5 hold, 4 overweight, 7 buy



Comparables Analysis

Comparable Company Rationale

Amundi operates in the asset management industry, and its main competitors are other large firms in the sector, both on a regional and global scale.

Key similarities : These firms manage large-scale assets across multiple financial markets, focusing on both institutional and individual clients. Amundi can remain competitive by enhancing its sustainable investing offerings and expanding its global footprint, similar to BlackRock and Vanguard. However, it needs to maintain its strong European base while considering more aggressive global strategies to keep up with these industry giants.

Symbol	Name	Market Cap	EV	Price	P/E FWD	PEG FWD	Price / Sales	EV / Sales	EV / EBITDA	Price / Book	Price / Cash Flow
KKR	KKR & Co. Inc.	147.71B	-	166.30 Pre. 166.72	35.30	1.35	5.30	-	-	6.13	18.77
APO	Apollo Global Management,...	96.81B	-	171.10 Pre. 172.89	24.09	1.54	3.17	-	-	5.88	18.19
SHNWF	Schroders plc	6.73B	1.43B	4.09	-	-	1.82	0.39	1.47	1.24	5.57
IVZ	Invesco Ltd.	8.51B	9.53B	19.00 Pre. 19.21	10.17	0.87	1.43	1.57	9.30	0.58	7.15
BEN	Franklin Resources, Inc.	10.50B	12.99B	20.05 Pre. 20.20	9.07	4.26	1.20	1.53	7.61	0.84	10.81
BLK	BlackRock, Inc.	163.03B	165.24B	1,052.61 Pre. 1,060.00	22.19	1.74	7.74	8.10	20.36	3.78	37.60
AMDUF	Amundi SA	14.13B		70,58	9,49	-	2,06	1,54	1,54	1,12	9,08
				Low	9,07x		1,2x	0,39x	1,47x	0,58x	7,15x
				Average	20,16x		3,44x	11x	9,69x	3,08x	16,34x
				High	35,3x		7,74x	8.10x	20.36x	6,13x	37,6x
				Fair	11x		-	-	-	-	-
				=> 78,47€ / Share							



DCF Model Output

WACC Assumptions

Cost of Debt
7.97%

As of June 2024, the cost of debt for Amundi was 137,5 M€, for a total book value of debts of 1 725 M€
 $\Rightarrow \text{Cost of Debt} = 137,5 / 1725 = 7,97\%$.

Risk Free Rate
3.51%

We use here the Germany 10Y rate

Cost of Equity
8.51%

We use here a 5% market premium, a bit lower than usual to account for Crédit Agricole partial ownership

Weight of debt
12,74%

Market cap : 13 537 MEUR. Total debts : 1 725 MEUR
 $\text{Weight of debt} = 1725 / 13537 = 12,74\%$

WACC
8.19%

$\text{WACC} = (1 - \text{weight of debt} * \text{Cost of Equity} + \text{weight of debt} * \text{Cost of Debt} * (1 - \text{Tax Rate}))$
 $= (1 - 12.74\%) * 8.51\% + 12.74\% * 7.97\% * (1 - 25\%)$
 $= 8.19\%$



DCF Model Output

Terminal Value – Perpetuity Growth Method

2024 FCF : EUR 1 307 M

FCF growth for the next 5Y : 1%

Baseline Terminal FCF Growth Rate 0.50%

Baseline Terminal Value : EUR 18 806 M

Diluted shares outstanding : 210 M

Net debt : EUR 1 725 M

Baseline EV : EUR 24 268 M

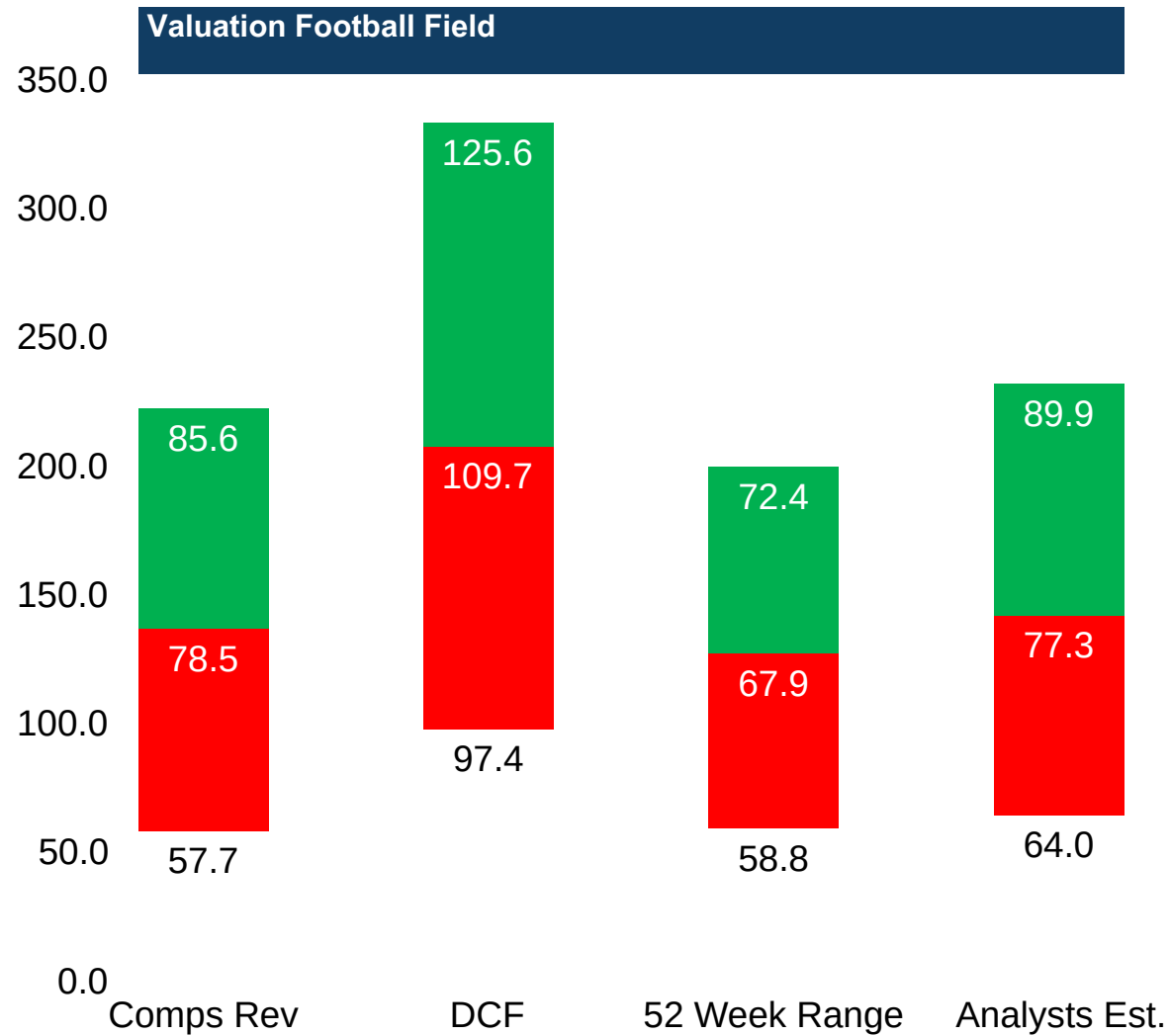
Implied Share Price from DCF	109,74€	Premium to Current Share Price	62,1%
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Sensitivity Analysis

		Terminal earnings growth rate				
		-0,50%	0%	0,50%	1%	1,50%
WACC	6,00%	128,37	137,39	148,06	160,86	176,51
	7,00%	113,06	119,77	127,50	136,53	147,20
	8,19%	99,21	104,15	109,74	116,11	123,43
	9,00%	91,64	95,76	100,36	105,53	111,40
	10,00%	83,79	87,14	90,84	94,96	99,56



Valuation Summary





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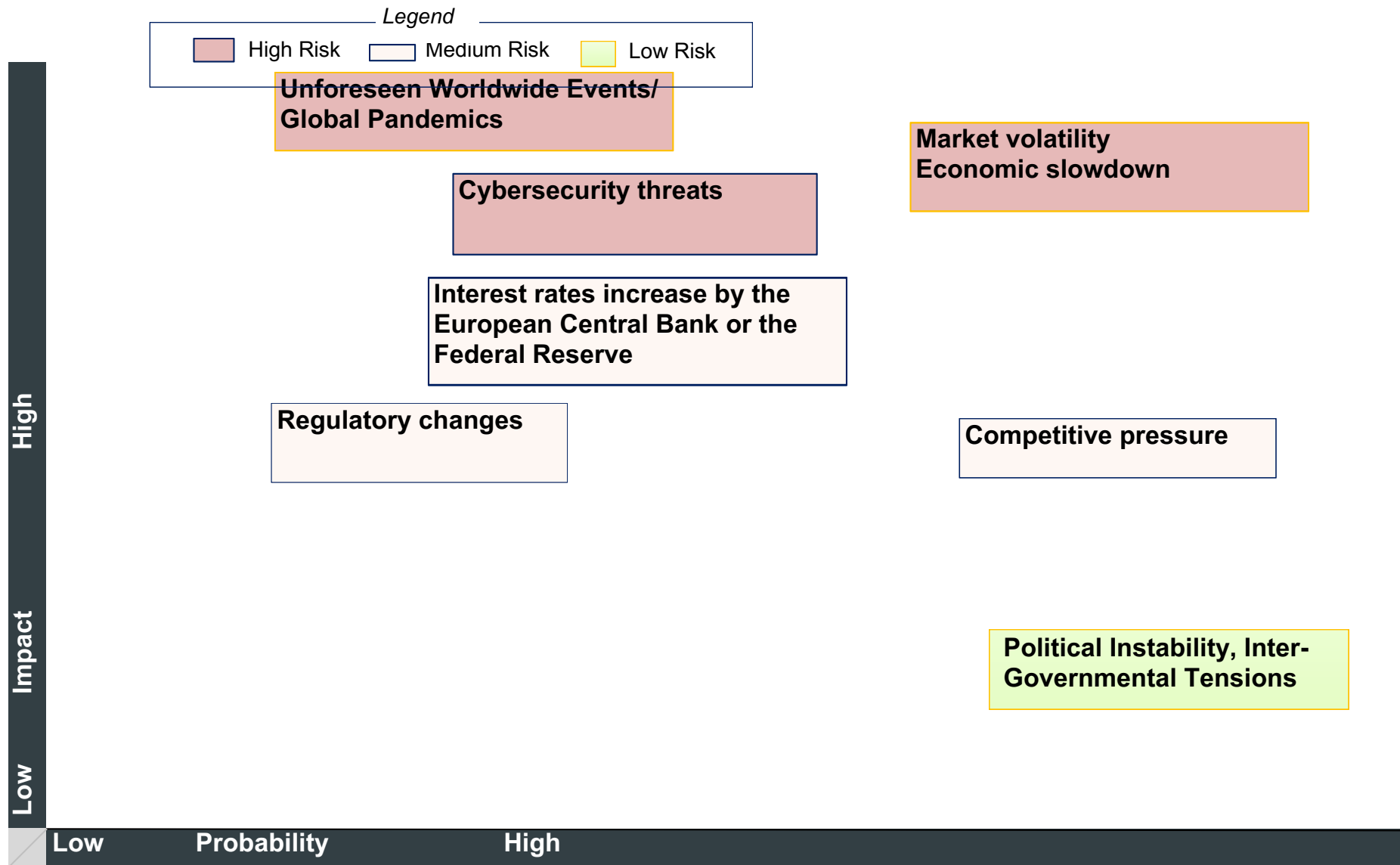
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Risk Considerations





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Price Target & Recommendation

Price Target		
Valuation Summary		
Analysis	Price	Weight
Current price	67,7€	40%
Brokers	77,28€	20%
Comparables	78,47€	20%
DCF	109.74€	20%
Target Price	80.18€	100%

We believe that under 70€, Amundi is a low-risk play and therefore a buy for our core portfolio.

Our price target is 80€, giving us a 14.3% upside, but this is a long-term play.

We put a stop loss at 56€.